One job at a time

Managers are always looking for ways to increase productivity, which is the ratio of costs to output in production. Adam Smith, writing when the manufacturing industry was new, described a way that production could be made more efficient, known as the “division of labor.” Making most manufactured goods involves several different processes using different skills. Smith’s example was the manufacture of pins: the wire is straightened, sharpened, a head is put on, and then it is polished. One worker could do all these tasks, and make 20 pins in a day. But this work can be divided into its separate processes, with a number of workers each performing one task. Because each worker specializes in one job, he or she can work much faster without changing from one task to another. Now 10 workers can produce thousands of pins in a day—a huge increase in productivity from the 200 they would have produced before.

> THE GREATEST IMPROVEMENT IN THE PRODUCTIVE POWERS OF LABOR… SEEMS TO HAVE BEEN THE EFFECTS OF THE DIVISION OF LABOR.
>
> ADAM SMITH

Scale it up

Another way of increasing productivity comes from economies of scale. The more goods a factory produces, the cheaper it is to make each item. This is because fixed costs, for things such as the buildings and machinery, must be paid whatever the output of the factory. So if a large quantity of goods is made the costs are spread over a larger number of items. Costs are also reduced by buying raw materials in bulk.